

Grays.com

This is public information available to all parties. The second section contains private information available only to your role and will be distributed separately. Do not show private information to anyone else. The case is patterned after an actual negotiation although names and some facts have been changed.

Public information available to both bargainers

The negotiation involves the sale of the Internet domain name 'Grays.com'. The present owner of the name is Chris Gray, proprietor and chef of Gray's Restaurant and Catering, located in a mid-west college town. The prospective buyer is the new major league baseball club, the Washington Grays. The Washington Grays are represented by Kelly Kaplan, one of the partners that own the team.

About Internet domain names

All Internet locations have a numerical, or IP, address to identify them to networked computers. IP addresses are difficult for most people to remember, and so the domain name system was created to provide more intuitive, less numeric addressing. Rights to domain names are governed by the Internet Corporation for Assigned Names and Numbers (ICANN), an international nonprofit group chartered for "preserving the operational stability of the Internet." ICANN runs, or finds companies to run, the 13 "root server" computers that contain the IP addresses for all top-level domains in the world (.com, .org, .de, etc.). The .com domain is run by the Verisign company. Domain names are registered through third party companies that Verisign licenses. These companies charge \$9 to \$35 a year to register a domain name, paying \$6 of the fee to Verisign. Once a name is registered, it remains the property of the registrant so long as the annual fee is paid. The registrant is free to sell the name to another party if they so choose. Resale is not unusual; in fact, there are several Internet markets that specialize in private domain name transactions. Domain names are often bought speculatively, in anticipation that they will have market value in the future.

Snappy, easy to remember domain names are highly sought by business, since names that are difficult to remember can lead to a loss of trade. (Search engines ease this problem some, but to the extent that there are similar names used by different companies, there can still be confusion.) The market value of domain names varies widely, ranging from the cost of registration fee up to

This note was prepared as the basis for class discussion rather than to illustrate either effective or ineffective handling of an administrative situation. Prepared by Prof. Gary Bolton of Smeal and Prof. Jeannette Brosig, University of Magdeburg, Germany with the research assistance of Cornelius Cornelssen, Penn State class of 2006.

the most ever paid, \$7.5 million, for 'business.com'. To cut down on customer confusion, some businesses take multiple domain names for their web site. This comes at a cost, however; the consultant Gartner Group estimates that managing a new domain name can cost up to \$75,000 for marketing and legal expenses.

About the Washington Grays

The Grays are getting ready for, what will be, the first major league baseball season played in Washington in several decades. In previous years, the Grays played in Vancouver as the 'Bobcats'. There they struggled with low ticket sales. Washington lured the team by agreeing to finance and build a new \$440 million stadium that it will rent to the team for an average of \$5.5 million per year. The city expects average attendance to be 30,000 people per game. The average ticket price will be \$21.43. The Grays are scheduled to play 86 home games this season. (Information of this sort is easily obtained on the Internet.)

The name 'Grays' was chosen to commemorate the 'Homestead Grays', a team that played in the Negro Baseball League during the first half of the twentieth century, at a time when African American players were not permitted in the major leagues. The name was announced to the public soon after the decision to move to Washington was taken for the purpose of generating publicity, and prior to checking domain name availability. Baseball teams sell tickets directly through their web sites. The sites are also used to promote the team and associated merchandise.

About Gray's Restaurant and Catering

Gray's Restaurant and Catering is located in State College, PA, a college town of about 85,000 people (includes students) about a three and one-half hour drive from Washington. The business is housed in an upscale hotel of about 100 rooms. The hotel is busy year round, with lodgers coming for university events (ex., sporting events, professional conferences, etc.), as well as for the entertainment events hosted by the local arena.

'Grays.com' promotes both restaurant and catering businesses (the hotel keeps a separate web site which links with Grays.com). The restaurant's menu, suitable for an upscale hotel, is prominently displayed, complete with this week's special offerings, as are directions to the restaurants. The site advises diners to make reservations and provides the phone number to do so. Catering menus and suggestions are also posted. Catering customers are invited to call to schedule an event.

About the negotiation

Kelly recently telephoned Chris saying that the Washington Grays might be interested in buying the Grays.com name. The call was unsolicited: Chris had not put the name on the market. Chris asked for time to think about it. The parties agreed they would talk again within a few of days.

An agreement should be treated as legally binding and final. Both sides are permitted to break off negotiations and can refuse to make an agreement if they think that is what is best for them.

This completes the public information given to both bargainers. The private information refines uncertainties in the public information concerning the bargainer's situation, what he knows about the other parties to the negotiation or about the object being negotiated. The private information does *not* introduce new issues.